

End of COVID Transition, time to launch

PVR reported a strong performance in Q1FY23 which was a beat on our expectations across the board.

- Revenue at INR 9,814 Mn (Vs 594 Mn YoY and 5,371 Mn QoQ)
- EBITDA stood at INR 3,416 Mn (Vs -909 Mn YoY and 999 Mn QoQ)
- PBT stood at INR 851 Mn vs loss of INR (3,245) Mn YoY and loss of INR (1,515) Mn QoQ
- PAT stood at INR 534 Mn (Vs -2.194 Mn YoY and -1,055 Mn QoQ)
- EPS stood INR 8.75 (Vs -36.1 Mn YoY and -17.3 Mn QoQ)
- Admits stood at 25 Mn (Vs 1.5 Mn YoY and 14.3 Mn QoQ)
- ATP stood at INR 252 in (Vs 191 YoY and 242 QoQ)
- SPH stood at INR 134 (Vs 96 YoY and 122 QoQ)
- Gross debt stands at INR 14,140 Mn (Vs 15,150 Mn QoQ)
- Net Debt stood at INR 5,698 Mn (Vs 5,786 Mn QoQ)

Key Takeaways of the result:

- PVR delivered highest ever revenues, EBITDA and PAT in Q1FY23, as the industry had its first full quarter of operations since Covid. The company also witnessed the highest-ever ATP of Rs250 and SPH of Rs134, with footfalls trending toward pre-Covid levels.
- Ad revenue saw a sharp recovery, while pre-Covid levels will be reached post H2.
- Company has maintained guidance of adding 125 screens in FY23 and the debt levels will not increase from current levels. The screens will be added through internal accruals

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23F	FY24F
Net sales	34144	2800	13310	47265	57907
% growth	11%	-92%	375%	255%	23%
EBITDA	10766	-3349	1057	16584	18816
PBT	901	-9383	-6807	6226	8447
Adj. PAT	269	-6589	-4885	4187	5575
EPS (Rs)	5.3	-127.5	-80.0	68.8	91.5
EV/EBITDA (x)	13.6	-43.1	158.7	9.8	8.3
P/B (x)	6.7	9.0	34.6	15.5	9.1
P/E (x)	364.8	-15.2	-24.2	28.2	21.2
D/E	0.8	1.1	4.5	1.7	0.9
ROCE (%)	12%	-15%	-9%	19%	21%

Source: Company, Dalal & Broacha Research

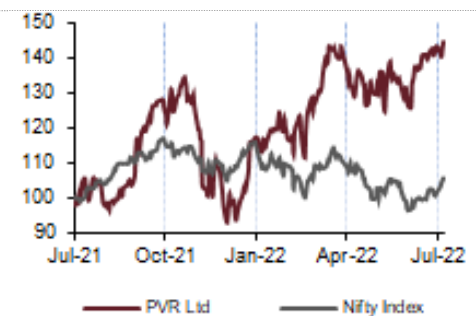
Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	2,350	21

Market data

Current price	Rs	1,940
Market Cap (Rs.Bn)	(Rs Bn)	118
Market Cap (US\$ Mn)	(US\$ Mn)	1,482
Face Value	Rs	10
52 Weeks High/Low	Rs	10.35 / 1224.05
Average Daily Volume	('000)	1,612
BSE Code		532689
Bloomberg		PVRL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	16.99	17.01
Public	83.01	82.99
Total	100.00	100.00

Source: Bloomberg

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Conference Call Key Highlights

- Company witnessed highest ever Revenue, EBITDA, PAT, ATP and SPH
- Strong performance on the back of audience returning to cinemas which are on back of strong content. High ATP was maintained due to strong traction for content while SPH is maintained otherwise.
- Total screens reached 858 (added net 4 screens) with higher penetration to south. 1/3rd of the screens opened are in T2 and T3 cities.
- All revenue streams grew (as against Q1FY20 – precovid) except Ad Revenues which the management expects to boost by Q3 as ad revenues will recover on back of strong audience participation.
- Expect 9-10% wage hike going forward, ATP can vary +- 10-12 Rs.
- Net debt has been reduced by 91 crs to 844 Crs. Debt levels will not rise from here.
- Subscription model going in Phase 2, some hiccups were encountered. Premium screens will be smaller in size but will generate higher revenues and drive higher SPH. Currently 12% of screens are premium screens.
- Merger: NOC received from exchanges for both companies. NCLT requirements will be filed in 2-3 weeks and approval in 5-7 months.
- As compared to pre pandemic, domestic language movie viewership has risen drastically. English movies viewership contribution fell from 30% to 16%
- KGF and RRR together contributed to 40% of PVRs Box office collection for the quarter showing strong traction for domestic content.
- Stronger domestic pipeline will result in stronger results (movies like shamshera, Lal Singh Chadha, Brahmastra, Vikram and Ek Villain are expected). Hollywood content traction has not reduced, domestic content traction has increased.

Valuation & Outlook

PVR is currently trading at an EV/EBITDA multiple of 9.8x / 8.3x FY23e / FY24e EBITDA.

The current performance has stood out for the company as footfalls have been a positive surprise. The figures are yet to breach all time highs which suggest an upward room for the figures to grow. The ATP and SPH on the other hand are already at all time highs which may stagnate and not grow further.

Company is on track to add 125 screens for the year (opened 14 in current quarter) which will majorly open in Q3 and Q4.

Moreover, impending merger of PVR and Inox should create a virtual monopoly in the movie exhibition industry.

Taking the above points into consideration, **we assign ACCUMULATE rating on the stock and upgrade our target price** (from INR 2,229) **to INR 2,350 based on our FY24 estimates.**

Financial

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22	FY23F	FY24F
Total Revenue	34144	2800	13310	47265	57907
<i>Growth %</i>	11%	-92%	375%	255%	23%
Less:					
Film Distributors Share	7335	472	2860	11806	14493
F&B cost	2637	258	1115	3489	4850
Employee cost	3938	2171	2693	4816	5821
Other expenses	9469	3249	5585	10569	13927
Total Operating Exp	23379	6149	12253	30681	39091
EBIDTA	10766	-3349	1057	16584	18816
<i>Growth %</i>	84%	-131%	-132%	1469%	13%
<i>EBITDA Margin (%)</i>	32%	-120%	8%	35%	32%
Less: Depreciation	5425	5748	6144	5956	6003
EBIT	5341	-9098	-5087	10628	12813
EBIT Margin	16%	-325%	-38%	22%	22%
<i>Growth %</i>	35%	N.A.	N.A.	N.A.	N.A.
Interest Paid	4,817.9	4978	4982	4920	4744
Non-operating Income	377.9	4693.4	3261.3	518.8	377.9
Exceptional Items	-	-	-	-	-
Profit Before Tax	901	-9383	-6807	6226	8447
Adjusted PBT	901	-9383	-6807	6226	8447
Tax	627.4	-2794	-1922	2039	2872
Net Profit	269	-6589	-4885	4187	5575
Adjusted Profit	269	-6589	-4885	4187	5575
<i>Growth %</i>	-86%	N.A.	N.A.	N.A.	N.A.
<i>Net Profit Margin (%)</i>	1%	-235%	-37%	9%	10%
Reported Diluted					
EPS Rs	5.3	-127.5	-80.0	68.8	91.5
<i>Growth %</i>	-86%	N.A.	N.A.	N.A.	N.A.
Adjusted Diluted					
EPS Rs	5.3	-127.5	-80.0	68.8	91.5

Cash Flow Statement					
YE March (Rs. Mn)	FY20	FY21	FY22	FY23E	FY24E
PAT	284	-6592	-4883	4196	5584
(Less)/Add: Extraordinary Income/Expense	-5	0	0	0	0
Less: Non Operating Income	378	4693	3261	519	378
Add: Depreciation	5425	5748	6144	5956	6003
Add: Interest Paid	4818	4978	4982	4920	4744
Operating Profit before WC Changes	10900	8831	9502	15582	16700
(Inc)/Dec in Current Assets	-717	1545	-83	-1740	-1438
Inc/(Dec) in Current Liabilities	-1998	-1335	-1313	19816	8447
Changes in Inventory	-3	57	-93	-176	-117
Net Cash Generated From Operations	8181	9099	8013	33481	23592
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-6883	-4429	-6281	-6928	-3415
Net Cash Flow from Investing Activities	-4533	29	-1154	-8815	-4766
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	582	-250	3756	-2506	-1000
Net Cash Flow from Financing Activities	-8433	-5038	3476	-8173	-6637
Net Inc/Dec in cash equivalent s	-4785	4090	10335	16494	12189
Opening Balance	352	3235	7323	5786	22432
Closing Cash and Cash Equivalent s	3235	7325	4716	3624	3624

Source: Company, Dalal & Broach Research

Balance Sheet

YTM March (INR Mn)	FY20	FY21	FY22	FY23F	FY24F
ASSETS					
Current Assets					
Cash in hand and at banks	3,235	7,323	5,786	22,432	27,520
Accounts receivable	1,893	307	707	1,554	2,380
Total Current Assets	7,536	10,023	8,661	27,223	33,866
Non-current Assets					
Gross Block	22,750	23,660	26,260	30,710	31,710
Less Depreciation	6,392	8,621	11,084	14,562	18,150
Net Block	16,358	15,039	15,175	16,147	13,559
Capital Work in progress	1,547	2,172	645	645	645
Right of Use Assets	30,047	27,808	26,783	33,350	39,979
Investments	11	3	2,586	2,586	2,586.2
Others	3,797	3,581	840	3,237	4,958
Total non-current assets	51,760	48,602	46,030	55,966	61,727
TOTAL ASSETS	59,297	58,625	54,691	83,189	95,593
LIABILITIES AND EQUITY					
Current liabilities					
Bank overdrafts and loans					
Short term loans					
Trade & notes payable	6,187	5,469	4,164	9,065	11,105
Lease Liabilities	2,024	2,421	2,769	6,224	5,887
Total Current Liabilities	11,739	10,801	9,836	33,106	41,217
Noncurrent liabilities					
Secured Loans	12,043	11,793	15,549	13,043	12,043
Unsecured Loans	-	-	-	-	-
Lease Liabilities	35,691	34,091	34,138	37,689	37,554
Total noncurrent liabilities	47,734	45,884	49,687	50,732	49,597
TOTAL LIABILITIES	59,473	56,685	59,523	83,838	90,814
SHAREHOLDERS' EQUITY					
Share Capital	513	517	610	610	610
Retained Earnings	14,289	7,697	13,094	17,290	22,727
Total Shareholders' Equity	14,802	11,155	13,704	17,900	23,337

Valuation Ratios

P/E(x)	364.8x	-15.2x	-24.2x	28.2x	21.2x
EV/EBITDA	13.6x	-43.1x	158.7x	9.8x	8.3x
P/BV(x)	6.7x	9.0x	34.6x	15.5x	9.1x
EV/Sales(x)	4.3x	51.5x	12.6x	3.5x	2.7x
Market Cap./Sales(x)	2.9x	35.8x	8.9x	2.5x	2.0x

Ratio Analysis

YE March (Rs. mn)	FY20	FY21	FY22	FY23F	FY24F
RoCE (%)	12.0%	-15.2%	-9.2%	19.1%	21.2%
Current Ratio (x)	0.8	0.6	0.5	0.6	0.7
Dividend Payout (%)	45%	0%	0%	0%	3%
Interest Coverage (x)	1.1	-1.8	-1.0	2.2	2.7
Debt to Equity Ratio	0.8	1.1	4.5	1.7	0.9

Source: Dalal & Broacha Research, Company

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